

June 22, 2023

Senator Floyd Prozanski
900 Court St. NE, S-413
Salem, OR 97301

Senator Deb Patterson
900 Court St. NE, S-411
Salem, Oregon 97301

Representative Paul Holvey
900 Court St. NE, H-277
Salem, OR 97301

Senator Janeen Sollman
900 Court St. NE, S-207
Salem, Oregon 97301

Senator Michael Dembrow
900 Court St. NE, S-407
Salem, Oregon 97301

Representative Dan Rayfield
Speaker of the Oregon House of
Representatives
900 Court St. NE, H-271
Salem, Oregon 97301

Senator Jeff Golden
900 Court St. NE, S-421
Salem, Oregon 97301

Senator James I. Manning Jr.
900 Court St. NE, S-209
Salem, OR 97301

RE: SB 619 – Oppose

Dear Senator Prozanski, Representative Holvey, Senator Dembrow, Senator Golden, Senator Manning Jr., Senator Patterson, Senator Sollman, and House Speaker Rayfield:

On behalf of the advertising industry, we write to oppose SB 619.¹ As presently drafted, SB 619 contains provisions that are out-of-step with privacy laws in other states. Below we identify areas where harmonizing the bill with other existing state privacy laws would benefit consumers and businesses. Specifically, we ask you to harmonize SB 619 to:

- Recognize the privacy benefits of pseudonymous data.
- Require disclosures of categories of third-party partners rather than specific names

We and the companies we represent, many of whom do substantial business in Oregon, strongly believe consumers deserve meaningful privacy protections supported by reasonable laws and responsible industry policies. However, we are concerned that state efforts to pass privacy laws will only add to the increasingly complex privacy landscape for both consumers and businesses throughout the country. We and our members therefore support a national standard for data privacy at the federal level. As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, long-standing and emerging publishers, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial

¹ Oregon SB 619, 82nd Leg. Assembly Reg. Sess. (2023), located [here](#).

Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.² By one estimate, nearly 80,000 jobs in Oregon are related to the ad-subsidized Internet.³ Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with you further on our suggested amendments to SB 619 outlined here.

I. The Bill Is Inconsistent with Existing Privacy Laws Because It Does Not Address the Concept of Pseudonymous Data

One way SB 619 diverges from existing state privacy laws is that it does not address the concept of pseudonymous data. The vast majority of state privacy laws recognize the privacy benefits of “pseudonymous data,” which is typically defined to include personal data that cannot be attributed to a specific natural person without the use of additional information. These other laws exempt this data from consumer rights to access, delete, correct, and port personal data, provided that this data is kept separately from information necessary to identify a consumer and is subject to effective technical and organizational controls to prevent the controller from accessing such information. Without an explicit exemption for pseudonymous data from consumer rights, controllers could be forced to reidentify data or to maintain it in identifiable form in order to ensure they can, for example, return such information to a consumer in response to an access request. Requiring companies to link pseudonymous data with identifiable information is less privacy protective for consumers than permitting and encouraging companies to keep such data sets separate. We ask you to amend SB 619 and harmonize it with other privacy laws to exempt pseudonymous data from consumer rights of access, correction, deletion, and portability.

II. The Bill Diverges from Existing Privacy Laws Because It Requires Controllers to Disclose the Names of Specific Third-Party Partners

Another way SB 619 diverges from existing state privacy laws is that it would require controllers to disclose “a list of specific third parties, other than natural persons, to which the controller has disclosed... personal data” upon a consumer’s request.⁴ Other states that have enacted privacy laws do not include this impractical and duplicative requirement. Instead, all other state privacy laws require companies to disclose the *categories* of third parties to whom they transfer personal data rather than the specific names of such third parties themselves.⁵ Requiring documentation or disclosure of the names of entities would be operationally burdensome, as controllers change business partners frequently, and companies regularly merge with others and change names. For instance, a controller may engage in a data exchange with a new business-customer on the same day it responds to a consumer disclosure request. This requirement would either force the controller to refrain from engaging in commerce with the new business-customer until its consumer disclosures are updated or risk violating the law. This is an unreasonable restraint. From an operational standpoint, constantly updating a list of all third-party partners a controller works with would take significant resources and time away from companies’ efforts to comply with other new privacy directives in SB 619. And the bill’s amended language to give controllers an option to provide a list of names of third-party partners

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf (hereinafter, “Deighton & Kornfeld 2021”).

³ *Id.* at 132.

⁴ SB 619 at Sec. 3(1)(a)(B).

⁵ See, e.g., Cal. Civ. Code § 1798.110; Va. Code Ann. § 59.1-578(C); Colo. Rev. Stat. § 6-1-1308(1)(a) (effective Jul. 1, 2023); Connecticut Act Concerning Personal Data Privacy and Online Monitoring, Sec. 6(c) (effective Jul. 1, 2023); Utah Rev. Stat. § 16-61-302(1)(a) (effective Dec. 31, 2023).

that receive data about a requesting consumer or a list of third-party recipients of any personal data does little to ease this operational burden.⁶ Even with this option, controllers may be forced to jeopardize new business opportunities and relationships just to compile, maintain, update, and distribute these ephemeral lists.

International privacy standards like the European Union's General Data Protection Regulation ("GDPR") also do not require burdensome disclosures of specific third parties in response to data subject access requests, according to the text of the law. Mandating that companies disclose the names of their third-party partners could obligate companies to abridge confidentiality clauses they maintain in their contracts with partners and expose proprietary business information to their competitors. Finally, the consumer benefit that would accrue from their receipt of a list of third-party partners to whom a controller discloses data would be minimal at best. The benefit would be especially insignificant given SB 619 already requires controllers to disclose *categories* of third-party partners in privacy notices for consumers.⁷ For these reasons, we encourage you to reconsider this onerous language, which severely diverges from the approach to disclosures taken in existing state privacy laws. To align SB 619 with other state privacy laws, the bill should require disclosures of the categories of third parties rather than the names of such third parties themselves.

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We and our members support protecting consumer privacy. We believe, however, that SB 619 would impose particularly onerous requirements on entities doing business in the state and would unnecessarily impede Oregon residents from receiving helpful services and accessing useful information online. We therefore respectfully ask you to reconsider SB 619 or amend it to reflect the recommendations set forth in this letter. Thank you in advance for consideration of this letter.

Sincerely,

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⁶ SB 619 at Sec. 3(1)(a)(B).

⁷ *Id.* at Sec. 5(4)(e).